

CAPITAL MARKETS

Nomura's \$719M CMBS Deal Shows Private Credit Is Choosing Structure Over Speed

The largest single-bank SASB in two years reveals how a new lender and a first-time CMBS borrower aligned incentives to clear the market.

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A source-grounded Light Tower Insight. The complete note follows.

Nomura Securities just priced the largest single-bank single-asset single-borrower CMBS deal in nearly two years. The \$719 million KELR 2026-MF transaction is backed by 13 multifamily and student housing properties owned by Keller Investment Properties. The AAA bonds cleared at 135 basis points over SOFR. The deal was multiple times oversubscribed.

Those are the facts. The story is what they reveal about the state of private credit in commercial real estate.

Nomura launched its CRE lending platform last summer. It is barely a year old. Keller Investment Properties, a family-owned shop based outside Salt Lake City, had never done a CMBS deal before. It had been an agency borrower. Two first-timers, one large transaction, and a market that has been punishing complexity for three years. That combination should have been a recipe for a long, painful process, not a 60-day close that one source called a land speed record.

The fact that it closed at all, let alone quickly and oversubscribed, tells you something about where liquidity is flowing and why.

The deal refinanced \$696 million in existing debt and funded \$22.2 million in closing costs and reserves. The portfolio spans Utah, Nevada, and Arizona, totaling 3,321 units. Keller acquired the assets between 2001 and 2022 and has put \$46 million in capital improvements into them. That is a long hold period and a meaningful basis. The portfolio is not a recent peak-priced acquisition that needs a rescue. It is seasoned, improved, and owned by a sponsor who has been through cycles.

That matters because the CMBS market, particularly the single-bank SASB channel, has been selective. The last deal of this size from a single bank closed in August 2024. The market has not been hungry for large, complex executions. It has been hungry for structure it can underwrite quickly.

Nomura offered that structure. The deal is floating-rate, interest-only, with a two-year term and three one-year extension options. That is a five-year window in a two-year wrapper. The borrower gets time. The lender gets the ability to reprice at each extension. The bond buyers get a short-duration

floating-rate instrument with a clear path to exit. Everyone gets something they need, and no one is pretending the rate environment is settled.

The oversubscription is the market's way of saying that this structure, on this portfolio, with this sponsor, at this pricing, is a bid it trusts. That is not the same as saying the market is open for every multifamily portfolio. It is saying the market is open for portfolios that can prove they were bought at a basis that still works after a rate shock.

Keller's history as an agency borrower is also revealing. Agency debt has been the default for multifamily owners who want low-cost, long-term, fixed-rate execution. But agency execution has its own constraints: prepayment penalties, occupancy requirements, and a slower process. Keller chose CMBS for this refinancing. That suggests the existing debt was likely agency debt that needed to be refinanced at a time when agency spreads were not as attractive, or when the portfolio's characteristics made agency execution less efficient. The floating-rate, interest-only structure of the CMBS deal gives Keller flexibility that agency debt does not. It also gives Nomura a relationship with a sponsor who has a long track record and a portfolio that has been improved, not just held.

Newmark brokered the financing and approached five or six banks initially. That is a competitive process, but it is also a filtering process. The banks that made proposals were not just bidding on price. They were bidding on their ability to execute a complex transaction for a first-time CMBS borrower. Nomura won because it offered the combination of price, structure, and certainty of execution that Keller needed. The 60-day close is the proof.

For the broader market, this deal is a signal that private credit is not retreating. It is becoming more surgical. The banks that dominated the CMBS market before 2022 have not returned at scale. The regional banks that filled some of the gap are constrained by their own deposit costs and regulatory pressure. The non-bank lenders, including investment bank platforms like Nomura's, are stepping in where they can underwrite the asset and the sponsor with confidence.

But confidence is not indiscriminate. Nomura did not lend against a development site or a value-add repositioning. It lent against a stabilized, seasoned, geographically diversified multifamily portfolio

owned by a sponsor who has held some of these assets for over two decades. The basis is low. The capital improvements are real. The markets are growing. The structure gives the lender multiple off-ramps.

This is the kind of deal that works in a market where rates are uncertain but capital is available for the right risk. It is not a sign that the CMBS market is back to 2021 volumes. It is a sign that the CMBS market has found a new equilibrium: smaller, more selective, and more dependent on the quality of the sponsor and the defensibility of the basis.

The question for other owners is whether their portfolio can tell the same story. If the basis is low, the improvements are documented, and the sponsor has a track record, the capital is there. If the basis is high, the debt is maturing, and the story is hope, the capital is somewhere else.

Nomura and Keller proved that structure, not speed, is what clears the market in 2026. The next test is whether that structure can scale.

SOURCES

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